## *Market failures that should not be addressed*

In theory, the world contains many market failures and we use state intervention to address them. In practice, we have an imperfect state. In the real world, the outcomes with state intervention are always worse than originally imagined. The policy decisions that flow from the real-world political process are suboptimal. State capacity is limited, so the implementation of a policy objective is flawed.

It is useful to think of three cases:

**Market failure solved, but at a high cost:** Under conditions of low state capacity, there is a greater risk of extremist policy actions.

For example, consider the market failure (externality) associated with acid rain. It is possible for a government to ban coal-fired thermal plants. This action does put an end to the market failure. But this is an inefficient solution, as the cost imposed upon society is too high.

Banning an activity is done too often in India. Public choice theory predicts that bureaucracies will favour the peace of mind and laziness. Given the lack of accountability associated with present laws, there is a bias in favour of bans.

**Regulatory response, but high cost and low effectiveness:** Sometimes, the Indian state pursues a market failure by trying to write regulations which reshape the behaviour of private persons. In this, owing to capacity constraints, the regulations that are written fare poorly on the cost–benefit analysis. They impose high costs and achieve low results.

The market failure is not solved, and the costs imposed upon society are excessive.

**Redistribution, but high cost and low effectiveness:** Government interventions through running government schemes or paying out subsidies are particularly daunting, under conditions of low state capacity, because of the high marginal cost of public funds. The cost to society of public expenditures is very high, so even a well-run programme is less attractive under these conditions.

Further, low state capacity hobbles the working of the scheme or subsidy programme, and that further hampers the net gain to society.

Put together, schemes of the Indian state fare poorly on cost–benefit analysis owing to high cost to society and poor results.

Through these pathways, the cost–benefit analysis associated with government intervention works out differently when there is low state capacity. There is a loss of welfare associated with a certain market failure. Under conditions of low state capacity, the costs associated with the